

Kestrel Compound

Systems Overview | June 7, 2026 | Generated by OpenClaw

Kestrel Compound — Investment Systems Guide

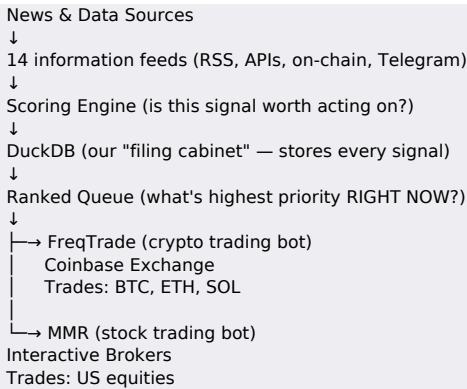
June 7, 2026

A plain-English guide to how our automated trading system works

The Big Picture (One Paragraph)

The Kestrel system continuously watches cryptocurrency markets and trusted news sources. When it detects a signal — a large whale moving coins, a promising altcoin narrative gaining steam, or basis divergence between futures and spot prices — it scores that signal for quality and route it to our trading bots. The bots then decide whether to buy or sell. The whole pipeline runs 24/7 without anyone sitting at a screen.

How Money Flows Through the System



Step 1: Where Signals Come From (14 Sources)

Think of these as fishing lines in the water. Each one catches different fish.

Source	What It Watches	How Reliable
Whale Alert	Large crypto transactions (whales moving \$1M+)	Very high — actual on-chain data
a16z Crypto	Venture capital newsletter	High — professional analysts
CoinDesk	Crypto news headlines	High — established media
CoinTelegraph	Crypto news headlines	High — established media
CoinStack	Market analysis newsletter	High — niche experts
Fear & Greed Index	Market sentiment meter	High — proven indicator
Tech Buzz	Tech industry trends	Medium — early signals
Bankless	DeFi / crypto strategy	Medium — good analysis
DefiLlama	DeFi protocol stats	Medium — raw data
Striker	Basis divergence (perp vs spot price gaps)	Medium — needs tuning
Hacker News	Tech community buzz	Low — too broad
ArXiv AI	AI research papers	Low — not market-focused
Telegram channels	Community chat groups	Low — lots of noise
Twitter/X feeds	Social media sentiment	Lowest — unreliable

Step 2: Scoring — Separating Signal From Noise

Every event gets scored 0.0 to 0.384 using this formula:

Score = Source Trustworthiness × Event Importance × Freshness × Boosters

Key factors:

- Source trust: Whale Alert (0.90) → Telegram channels (0.04)
- Freshness: Events hours old are decayed. Fresh data is prioritized.
- Cross-source boost: If two trusted sources agree on the same thing, score jumps +15%

- Asset boost: BTC and ETH get a 1.1x multiplier (they're the most liquid)
- Currently: 4,671 signals scored. 148 are above our buy threshold right now.

Step 3: DuckDB — The Filing Cabinet

DuckDB is a database that stores every signal we've ever processed. Think of it like a giant spreadsheet that can answer questions instantly:

- "Show me all ETH signals from the last 24 hours"
- "Which sources have been most accurate?"
- "What's the average score for whale alerts?"

It's not the trading system — it's the memory of the trading system. Every adapter writes to it, and every bot reads from it.

Signal arrives → Router checks confidence → Dedup (no duplicates)
→ DuckDB stores it → Scorer assigns edge_score
→ Ranked Queue builds → Bots execute

Step 4: FreqTrade — The Crypto Bot

Setting	Value
Exchange	Coinbase (biggest US exchange)
Pairs	BTC/USDC, ETH/USDC, SOL/USDC
Wallet	\$1,000 simulated (paper trading)
Per trade	\$10
Max open trades	3 at a time
Buy trigger	Signal score >= 0.20
Sell trigger	Signal score drops or 4% profit target
Stop loss	-5% max loss per trade

Current status: Paper trading (simulated money). Ready for real money once we verify the strategy works.

148 buyable signals right now: ETH (48 signals), BNB (29), LINK (24), BTC (15), plus others.

Step 5: MMR — The Stock Bot

We also have an Interactive Brokers integration for stock trading. It reads the same DuckDB signals but filters for equity-related events.

Current status: Paper mode, 20 signals injected successfully. Ready for IBKR paper account verification.

Infrastructure & Automation

The system runs itself. No one needs to press any buttons:

Timer	What It Does
Every 1 minute	Health check (everything alive?)
Every 15 minutes	Score new signals
Every 30 minutes	Generate Perplexity research queries, compound pulse
Every 4 hours	Scrape all 11 RSS feeds
Daily noon	TLDR tech newsletter
FreqTrade	Runs continuously (paper trading)
Striker	Runs continuously (WebSocket to Coinbase)

What We're Working On Next

Priority	Item	Why It Matters
P1	Tune Striker from 0.1% to 0.3%	Eliminates 98% of noise signals
P1	Boot persistence	Survive power outages
P2	CryptoQuant API (0.89 confidence source)	Best remaining signal source
P2	ProVara vault integration	Cryptographically sign every signal
P3	MMR live trading	Stocks alongside crypto
P3	Dashboard	Visual overview of all systems

In Simple Terms

You give us money → system watches markets 24/7 → when a good signal fires, it trades → profit or loss gets tracked → you see everything in the dashboard.

The system is currently running with play money to prove the strategy works. Once we're confident, we flip to real money.

Questions? Every component is documented and running. Ask and I'll show you the live state.